

bracket, which is represented by the dollar amounts on the right in Figure 7.1. Note that when it's time to actually file your taxes, you'll be able to use software that does these calculations for you. That said, being able to calculate your own taxes is a handy skill to have, and will give you a clearer understanding of how much you should be paying in taxes.

The number on the bottom right, \$15,680, represents the total amount of federal taxes you would owe. So although \$90,000 puts you into the 24% tax bracket, the amount you actually pay in taxes, \$15,680, is only 17.4% of your taxable income. This number, 17.4%, is called your **effective tax rate**. It is the actual percentage of your taxable income that goes toward taxes.

Unfortunately, many people do not understand how our tax system works, and they make ill-informed decisions because of this. It is not uncommon for people to say, "My boss offered me a raise last week, but I rejected it because it would have put me into a higher tax bracket, and I would have ended up making less money. I am a genius." These people are not geniuses; they just turned down more money. Remember, if your salary goes up and puts you into a higher tax bracket, only the money that falls into that bracket will be taxed at that rate. Please, never turn down a raise because you think you will end up with less money; that is not how taxes work.

How Taxes Are Paid Throughout the Year

It is your responsibility to pay your taxes each year. The majority of Americans pay their taxes throughout the year by having money withheld from their paychecks. In every paycheck you receive, money will be taken out and paid to the government. The